1 Dhanraj: The Stock Market Decoded

1.1 Preface

This book is compiled from thousands of hours of market commentary and education recorded between 2018 and 2026. The views expressed are those of the narrator, Dhanraj, and are presented for educational purposes only. Illustrative profit figures are recollected approximations, not audited results. This is not investment advice. Trading in derivatives carries substantial risk of loss. Past performance does not guarantee future results.

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1.3 DHANRAJ

A Trader's Education: Eight Years of Indian Markets, 2018–2026

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Disclaimer: The contents of this book are presented for educational and informational purposes only. Trading in futures and options involves substantial risk of loss. All trading anecdotes, P&L figures, and personal stories are presented as illustrative examples and do not represent guaranteed results. This book does not constitute investment advice.

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1.4 The Trader's Mind

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1.4.1 Chapter 1: Why Most Traders Lose

Every year, India's market regulator releases a report that should be required reading for anyone who opens a trad-

ing account. The headline number never changes: roughly ninety-three out of every hundred individual traders who deal in futures and options lose money. Of the remaining seven, six make less than one lakh rupees in annual profit. Only one person in a hundred earns a meaningful living from the activity.

But the number that should stop you cold is this: the bottom three-and-a-half percent of traders lose, on average, twenty-eight lakh rupees per year. These are not people who dabbled and lost pocket change. They are people who lost their savings, their family's security, and quite possibly their future — all because they treated financial markets as a short-cut to wealth.

The regulator's study covers only individual traders. Large participants trade through corporate entities, so the true retail failure rate is even higher than the published number suggests. For every person who builds a career from trading, roughly fifty are quietly bled dry.

This is not a new phenomenon. The industry joke — that nine out of ten people lose money — has been true for as long as organised exchanges have existed. What has changed is the scale. India's option-trading volumes now rival those of every other market in the world combined. What was once a niche activity for a handful of professionals has become a national pastime. And national pastimes, by their nature, consume far more participants than they reward.

1.4.1.1 The Gambler's Fallacy

Most new traders do not arrive at the markets through a careful study of derivatives or corporate finance. They arrive because they heard a story — a friend who turned fifty thousand into thirty lakhs in six months, a colleague whose cousin paid off his house in a single year, a social-

media post showing a brokerage account screen with a seven-figure P&L and a caption that says “another day, another crore.”

These stories are almost never lies. But they are almost never the whole truth either. Many of them come from what traders call the “opposite-account” strategy: an influencer runs two accounts simultaneously, takes opposite positions in each, and shows the winning one. The losing account is never mentioned. Over time, the paired accounts net to roughly zero before costs — which is precisely what market mathematics predicts.

The real damage happens not when the audience believes the story, but when they act on it. A person who opens a trading account expecting to double their money in six months is not trading. They are gambling. And the defining feature of gambling — whether at a racetrack, a slot machine, or an option chain — is that the house edge grinds you down over time.

In the stock market, the house edge takes many forms: brokerage fees, transaction taxes, slippage between bid and ask prices, and the simple mathematical truth that for every buyer of an option there must be a seller, and that the seller, on average, has more capital, better information, and a longer time horizon.

1.4.1.2 What a Business Looks Like

Imagine you own a kirana store — one of the small grocery shops that line every Indian neighbourhood. You do not open the store expecting to make your entire annual profit in the first week. You buy inventory, you pay rent and electricity, you deal with slow days and fast days, you adjust your stock when customers change their preferences. At the end of the year, if your revenue exceeds your costs,

you have a profit. If it does not, you either improve the business or you close it.

No kirana-store owner would look at a month of slow sales and decide the answer is to double their inventory order. No restaurant owner would, after a bad week, decide to bet next week's entire rent on a single menu item. But traders do the equivalent every day. After a loss, they chase it — they double their position size, move to riskier strikes, hold past their stop-loss in the hope of a recovery. This is not a business. It is a progressive betting system, and progressive betting systems have a single, mathematically inevitable outcome: ruin.

The regulator's ninety-three-percent figure has a corollary that is rarely stated but essential to understand. Among those who survive long enough to develop a genuine edge — people who treat trading as a business rather than a gamble — the success rate flips. Most professional traders and option sellers do not lose money over the long term. They make a consistent, unglamorous return on their capital, year after year.

The difference is not intelligence. It is structure.

1.4.1.3 The Four Rules That Separate Survivors From Casualties

From hundreds of transcripts spanning eight years, four principles emerge as the bedrock of every trader who lasts. They are not secrets. They are not complicated. They are simply hard to follow consistently, especially when emotions run high.

First: size for survival. Never commit capital to a single trade or strategy that, if it fails, would materially damage your trading account. A reasonable rule of thumb is that no single position should expose more than one to two percent of your total capital to maximum loss. This is not

about being conservative. It is about staying in the game long enough for your edge to play out.

Second: define your risk before you enter. A trade without a pre-determined exit point is not a trade; it is a hope. The most successful option sellers know exactly how much they are willing to lose on every position before they place it, and they honour that limit without exception.

Third: separate your analysis from your ego. Markets do not care what you think. A position that moves against you is not a personal failure; it is information. The ability to accept that your view was wrong and to exit cleanly — rather than doubling down to "prove yourself right" — is probably the single most valuable skill a trader can develop.

Fourth: treat trading as a business of probabilities, not certainties. No strategy works every time. The best strategies in the world have losing streaks that can last weeks. The only question that matters is whether, over a sufficiently large number of trades, your strategy produces a positive expected return. If it does, you keep executing. If it does not, you change the strategy, not the position size.

These four rules sound obvious. Almost every trader agrees with them in principle. The gap between agreement and consistent application is where ninety-three percent of market participants lose their money.

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1.4.2 Chapter 2: The Anatomy of a Trader's Failure

The journey from hope to ruin follows a remarkably consistent pattern. It has been described in every market crash memoir and analysed in regulatory studies, yet each new generation of traders discovers it for themselves as though it were a novel experience. It is not. The path is

well mapped. Recognising where you stand on it is the first step to getting off it.

1.4.2.1 Stage One: The First Taste

A new trader enters the market with a small amount of capital — perhaps twenty or fifty thousand rupees. They buy a call option or a futures contract, partly out of curiosity, partly because a friend or a social-media post suggested it. The market moves in their favour. Within a day or two, their small position has produced a return that feels disproportionate to the effort involved. A gain of a few thousand rupees on a twenty-thousand-rupee bet — that is ten, twenty percent in hours. No bank deposit, no mutual fund, no business investment produces returns like that.

The first trade is almost always a win. This is not coincidence. Markets spend roughly two-thirds of their time in an uptrend or a consolidation; directional moves that catch an early-stage trend are statistically more likely to be profitable than not. But the new trader does not know this. They attribute the gain to their own skill.

1.4.2.2 Stage Two: The Confirmation Bias Trap

Encouraged, the trader places a second trade, then a third. Some win, some lose. The wins feel earned; the losses feel like bad luck. The trader begins to develop a narrative: “I understand the market. I can read candlesticks. I know when to enter.” They start increasing position sizes, reasoning that if a small bet was good, a larger one will be better.

This is the most dangerous moment in a trader’s career — the point at which they are most likely to mistake a favourable sample for genuine ability.

1.4.2.3 Stage Three: The First Significant Loss

It always comes. A position that was showing profit suddenly reverses. The trader waits for recovery. The position moves further against them. The loss exceeds anything they have experienced before. Now the trader faces a choice that will define their entire future in the markets: exit and accept the loss, or double down.

The psychology of loss aversion — the well-documented fact that humans feel the pain of a loss roughly twice as intensely as the pleasure of an equivalent gain — almost always pushes the trader toward doubling down. They add to the losing position, reasoning that the average entry price will improve and the eventual recovery will erase the loss. This is called "averaging down" when applied to investments and "firefighting" when applied to trades. In both cases, the mathematics are unforgiving: if a position moves against you after you double its size, your losses accelerate twice as fast.

1.4.2.4 Stage Four: The Rescue Attempt

Some traders survive this stage by using genuine firefighting techniques — adjusting positions, rolling strikes, adding hedges. These techniques, when applied with discipline, can turn a losing trade into a profitable one. But discipline is precisely what the emotionally compromised trader lacks. Their adjustments become progressively larger and riskier. The trader who started with a small call option may end up selling multiple puts to fund a losing call position, effectively turning a simple directional bet into an unhedged complex structure with vertical risk.

1.4.2.5 Stage Five: The End

When the margin call comes — and it almost always does — the account is wiped out. The trader leaves the market,

bitter and poorer. In a few months or years, the cycle repeats with new capital.

This pattern is so universal that it formed the basis of a series of educational episodes titled “Why NO to Trading.” The title was provocative, but the message was earnest: most people should not trade. Not because they are incapable of learning, but because the emotional and structural demands of consistent trading are far higher than most people anticipate, and the industry’s marketing machinery — the social-media screenshots, the workshop testimonials, the “easy money” rhetoric — systematically understates them.

1.4.2.6 The Trainer’s Business Model

A word about the ecosystem that surrounds retail trading. The person who posts a screenshot of a seventy-lakh profit on Twitter is almost certainly not making money primarily from trading. They are making money from selling courses, workshops, or signals to people who want to replicate that screenshot. This is not necessarily dishonest — many trainers provide genuine value — but it creates a structural misalignment of incentives. The trainer’s revenue depends on enrolment, not on the trading performance of their students. A strategy that sounds compelling in a workshop may be unprofitable in practice, but the trainer has already been paid.

The most reliable test of a trainer’s credibility is simple: ask whether they are willing to share audited, long-term track records from a regulated entity. Ninety-nine percent will decline. The remainder are the ones worth listening to.

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1.4.3 Chapter 3: Discipline, Process, and the Long Game

If the previous chapters painted a grim picture, there is a reason: the ninety-three-percent statistic is real, and anyone entering the markets should understand the weight of it. But the remaining seven percent exists, and within it, the top one percent earns returns that would be impossible in any other profession.

What separates them is not access to secret information. It is not superior intelligence or a better charting package. It is a set of habits — mundane, repetitive, unglamorous habits — that they execute day after day, regardless of how they feel about the market.

1.4.3.1 The Restaurant Owner's Logic

A trader who was also a restaurant owner once explained his approach in terms that cut through the noise. "When I opened my restaurant," he said, "I did not decide in advance that if I did not make a profit in the first week, I would close it. I expected the first few weeks to be slow. I had a plan: build a reputation, adjust the menu based on feedback, manage costs carefully. If after a year the restaurant was not working, I would consider my options. But I would not fire the chef after one bad Saturday."

The market, he argued, is no different. The day-trader who sets a twenty-point stop-loss and cancels the trade when it is hit is running a business on a timescale that makes no sense. A restaurant owner would never say, "Every dish must sell within three minutes or I will close the kitchen." But this is precisely what traders do when they allow a single day's price movement to dictate whether their strategy is valid.

This does not mean holding losing positions indefinitely. It means evaluating a strategy over a meaningful sample

— at least twenty to thirty trades, ideally more — and making structural adjustments based on that evaluation, not reacting emotionally to individual outcomes.

1.4.3.2 The Insurance Principle

Options are, at their core, insurance contracts. Every option buyer pays a premium in exchange for protection against an adverse price movement. Every option seller collects that premium in exchange for accepting the risk of that movement. The business of selling options is, fundamentally, the business of insurance.

Insurance companies do not write a single policy and hope it does not pay out. They write thousands of policies, collect premiums from all of them, and use actuarial models to ensure that the total premiums collected exceed the total claims paid. A single policy that results in a large claim is not a failure — it is a known cost of doing business. What matters is the aggregate.

The trader who sells one option and watches it go against them has not failed. They have paid a claim on one policy. The failure would be to stop selling options after that claim — just as an insurance company that stopped writing auto policies after paying out one accident claim would not be in business very long.

This is the hardest lesson for new option sellers to internalise. Their instinct is to measure success or failure on a trade-by-trade basis. Professional sellers measure it on a monthly, quarterly, or annual basis, and they accept that some of their trades will lose money.

1.4.3.3 The Charity of Capital

One veteran trader described his annual donation to a charity as follows: “I donate twenty-five percent of my trading profits. People ask me why I give away a quarter

of my income. I tell them: my trading profits are not guaranteed. If the market turns against me, I could lose everything I have in a week. By donating a portion, I remind myself that this money is not permanent. It is not mine in any deep sense. It is a tool that I am lucky enough to use."

This may sound like an eccentric approach to portfolio management. But it contains a truth that every survivor understands: the capital you trade with must be capital you can afford to lose. Not in the sense that you can bear the financial loss — that goes without saying — but in the sense that losing it would not destroy your ability to keep trading. The trader who uses money they cannot afford to lose — borrowed money, family savings, retirement funds — is not trading. They are betting, and the psychological weight of that bet makes disciplined decision-making impossible.

1.4.3.4 The Philosophy of the Long Option Seller

The option seller who survives and prospers operates from a specific philosophical position. They believe that:

- Markets trend over time, but oscillate in the short term. Selling options that benefit from time decay captures the value of those oscillations.
- Tail events happen, but they are rare and impossible to predict. The correct response is not to avoid selling options — no premium would ever be collected — but to size positions so that a tail event does not wipe out accumulated gains.
- Consistency matters more than magnitude. A strategy that produces a small, stable return every month will outperform a strategy that produces large gains three months of the year and large losses in the fourth.

- The edge is in the process, not the prediction. The question is not “will the market go up or down?” but “what is the expected value of this trade over many iterations?”

These principles are not dramatic. They do not make for compelling YouTube thumbnails. But they are the difference between the ninety-three percent and the seven.

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End of Part I

The book’s illustrative P&L figures and trading anecdotes are drawn from the author’s experience and from public market data. They are presented for educational purposes only. Past performance does not guarantee future results. Trading in futures and options carries substantial risk and is not suitable for all investors. newpage

1.5 How This Market Works

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1.5.1 Chapter 4: The Engine Room — FII/DII Flows

The single most useful piece of data for understanding what is happening in Indian equity markets on any given day comes from a table that appears on the NSE website a few hours after the close: the institutional cash-market flows. Two numbers — what Foreign Institutional Investors did and what Domestic Institutional Investors did — tell you more than any chart pattern or indicator.

1.5.1.1 Reading the Flow

Consider a typical day in October 2024. FIIs sold roughly eight thousand crore rupees worth of Indian equities. DIIs bought roughly the same amount. The market closed almost flat. Two years earlier, in October 2022, the pattern looked similar: FIIs sold twenty-five thousand crore in a

single month, DIIs matched the selling, and the market did not crash.

To anyone who learned their market history in the 2000s, this is a surprise. In 2008, when FIIs sold even a fraction of those amounts, the market fell several percent. The difference is scale. In 2008, FIIs dominated Indian market turnover. By 2022, domestic institutions — mutual funds, insurance companies, pension funds — had grown large enough to absorb FII selling.

This shift was not gradual. It happened in a sudden lurch between 2017 and 2021, driven by three forces: the systematic monthly investment of India's mutual-fund SIP culture, the growing allocation of insurance funds to equities, and the return of retail investors who had been scared away by the financial crisis.

1.5.1.2 The Declining Significance of a Headline Number

A trader who watches FII flows every day and positions himself opposite the headline direction will be right roughly as often as they are wrong. The reason is that FII activity is itself a reaction, not a cause. FIIs sell when the dollar strengthens against the rupee, when US bond yields rise relative to Indian yields, when global risk appetite falls. Their selling is correlated to these external factors, and the domestic market has learned to decouple from it.

The most instructive example came in 2022. Over twelve months, FIIs sold roughly two lakh crore rupees worth of Indian equities — a figure that, in absolute terms, exceeded any previous record by a wide margin. And yet the Nifty, over that same twelve months, ended roughly flat. Every time FIIs sold, DIIs bought. The market absorbed unprecedented foreign selling without a crash.

This does not mean FII flows are irrelevant. It means they must be read in context. A month of heavy FII selling when DIIs are also selling — that is a danger signal. That happened in June 2024, when both groups sold during the election-day panic, and the market fell more than nine percent intraday. The combination matters more than either number alone.

1.5.1.3 The F&O Positioning Layer

Cash-market flows are only half the story. FIIs also maintain large positions in index futures and options. Their futures long-short ratio — the proportion of their long futures positions to their short futures positions — is a useful sentiment indicator.

When this ratio moves above seventy percent long, it signals overcrowding and is typically followed by a correction. When it drops below fifty percent long, it signals extreme bearishness and is typically followed by a rally. The ratio works because FIIs, for all their sophistication, are subject to the same crowd psychology as retail traders. When they all pile into one side of the trade, the other side becomes a contrarian opportunity.

Some traders have built simple systems around this single data point: sell when the FII long ratio exceeds seventy, buy when it falls below fifty. The system is too simplistic to follow blindly, but it captures a genuine market dynamic.

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1.5.2 Chapter 5: Volatility as a Regime, Not a Number

Most traders think of volatility as a measurement — a number that tells them how much the market is moving. It is better understood as a regime. The difference matters because a regime influences every option price, every

strategy, and every risk calculation in ways that a single number cannot capture.

1.5.2.1 The VIX Bands

India VIX — the measure of implied volatility priced into Nifty options — has historically traded in three broad bands. Below fifteen, the regime is low volatility. Between fifteen and thirty, it is moderate volatility. Above thirty, it is high volatility, and above forty-five, the regime is crisis.

Each band demands a different approach:

- Low VIX (below 15): Option premiums are cheap. Selling options produces a small return per unit of risk. This is the most dangerous time to sell naked options, because a sudden volatility spike — even without a major price move — can double premium values overnight. The correct response is to pair every short option with a long option, creating a spread that cushions the volatility shock.
- Moderate VIX (15–30): This is the sweet spot for option selling. Premiums are high enough to produce meaningful returns but not so high that they reflect imminent crisis risk. Most of the strategies described in this book work best in this band.
- High VIX (above 30): Premiums are very high, but the risk of a tail event is elevated. This is a time to reduce position sizes and increase hedging. The high premium creates a temptation to sell aggressively — a temptation that has destroyed many traders who entered during the panic of March 2020.

1.5.2.2 The Falling-VIX Signal

One of the most reliable regime indicators is the behaviour of VIX when the market falls. If VIX rises during a market decline, it confirms the selling is driven by fear and may

continue. If VIX falls during a decline, it suggests the selling is technical (profit-booking, position-squaring) and likely to stabilise.

This pattern played out repeatedly in 2022. Every time Nifty had a sharp intraday fall, traders would check VIX. If VIX was also falling, they knew the dip was likely to be bought. If VIX was spiking, they knew the selling would probably accelerate.

1.5.2.3 IV Rank and Percentile

Two related concepts are essential for option traders. Implied Volatility Rank tells you where current IV sits relative to its range over the past year. Implied Volatility Percentile tells you the percentage of days over the past year that IV was lower than today's level.

When IV Rank is below twenty percent, premiums are historically cheap, and buying options — or avoiding short options — makes sense. When IV Rank is above eighty percent, premiums are historically expensive, and selling options offers a favourable risk-reward ratio.

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1.5.3 Chapter 6: Reading the Option Chain

The option chain — the table of available strikes and their bid-ask prices, open interest, and implied volatility — is the single richest source of market information available to a trader in real time. A skilled reader can extract from it not just where the market might go, but where the largest and most sophisticated participants have positioned themselves.

1.5.3.1 Max Open Interest as Crowd Consensus

The strike with the highest open interest for puts and the strike with the highest open interest for calls are, in aggregate, the market's best guess at two critical levels.

The max-OI put strike tends to act as support; the max-OI call strike tends to act as resistance. This is not because these levels have any technical significance. It is simply because the largest concentration of option sellers will defend their strikes.

Consider a typical expiry cycle. If the max OI for puts is at 24,000 and the max OI for calls is at 25,000, the market is likely to oscillate within this range. If it approaches 24,000, the put sellers will begin hedging by buying futures, creating support. If it approaches 25,000, the call sellers will hedge by selling futures, creating resistance.

1.5.3.2 The Breakeven Rule

An option seller's effective breakeven is not the strike price. It is the strike plus or minus the premium received. A trader who sells the 24,000 put for 200 rupees has a breakeven of 23,800 — giving them a 200-point cushion before they begin to lose money.

This simple arithmetic — strike minus premium received gives your true support level — is the foundation of every option-selling strategy. It also explains why markets sometimes behave strangely near expiry: the sellers' breakeven level acts as a magnetic floor or ceiling.

1.5.3.3 Positioning Asymmetry

When the open interest is heavily tilted to one side — for instance, when everyone has written calls and no one has written puts — the market is positioned for an upside surprise. If the market rallies, the call sellers must cover, and their covering fuels further upside. This asymmetry is the mechanism behind many of the sharp, unexpected rallies that happen on expiry days.

An experienced option seller reads the chain looking for asymmetry. If the put side is virtually unwritten and the

call side is heavily populated, the risk of a sharp rally is elevated. If both sides are roughly balanced, the market is expected to stay within its range.

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1.5.4 Chapter 7: Microstructure — Gaps, Expiries, and the Last Half-Hour

The daily routine of the Indian equity market has its own rhythms and quirks that are invisible to anyone who only looks at closing prices. Understanding these rhythms is essential for both directional trading and option positioning.

1.5.4.1 Gap Taxonomy

A gap-up opening — where Nifty opens significantly higher than the previous day's close — can mean very different things depending on how it behaves in the first thirty minutes.

- A gap up that sustains: The market opens higher and stays higher through the morning. This signals genuine buying interest. The gap usually represents new institutional flows or a positive global cue.
- A gap up that fades: The market opens higher but quickly drifts back toward the previous close. This signals distribution. Someone is using the gap as an exit, and the underlying demand is absent.
- A gap down that sustains: The mirror image of the first case; genuine selling pressure.
- A gap down that recovers: The most instructive pattern of all. A sharp gap-down opening that is bought within the first hour is almost always a short-covering catalyst. The early sellers who created the gap are caught wrong-footed, and the covering of their positions can produce a remarkable intraday reversal.

1.5.4.2 Expiry Anatomy

The behaviour of the market on expiry days — particularly on Thursdays, which are the weekly expiry for Nifty — follows a script that repeats with surprising regularity.

In the morning, the market feels tentative. Option writers who have collected premium all week are watching their positions nervously. By midday, if the market is near the max-OI strikes, the writers feel safe. Around 2:30 PM, volumes pick up sharply as traders who have been holding positions all week decide whether to roll them to the next series or let them expire. The last hour of expiry is when the day's largest moves typically happen.

The weekly-expiry system introduced around 2020 changed the rhythm. Before weekly expiries, traders had a full month to be right or wrong. With weekly expiries, the cycle compresses to seven days — which means faster theta decay for sellers and more frequent decision points for everyone.

1.5.4.3 Last-Half-Hour Dynamics

A pattern that appears across years of transcript data is that the last thirty minutes of the trading session — and especially the last fifteen — are dominated by institutional flows rather than retail flows. A well-known trader aphorism captures this: "Amateurs open the market, professionals close it."

When you see a sharp move in the last half-hour, it is almost always institutional. A late-day rally suggests institutional accumulation; a late-day sell-off suggests institutional distribution. The morning session, by contrast, is shaped by overnight global cues and retail positioning, making it less reliable for directional reads.

A corollary: if the market rallies in the morning but fades in the last hour, the rally was probably a retail-driven

reaction to positive news, and the fade was institutional selling into that strength. This “sell the rally” pattern is one of the most reliable signals of a market that is struggling to advance.

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End of Part II newpage

1.6 Options from First Principles

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1.6.1 Chapter 8: Why Derivatives Exist

Derivatives — contracts whose value derives from an underlying asset — were not invented by exchanges. They are as old as commerce itself. In seventeenth-century Japan, rice farmers sold forward contracts on their harvest to lock in prices and protect themselves from a bad season. In the Netherlands during the tulip mania of the 1630s, people traded options on tulip bulbs — the right to buy or sell a bulb at a fixed price — without realising they were participating in what would later be known as option trading.

Every derivative serves the same fundamental purpose: it transfers risk from someone who wants less of it to someone who is willing to accept more of it in exchange for compensation.

1.6.1.1 The Forward Contract

The simplest derivative is a forward contract. Two parties agree today that one will buy and the other will sell an asset at a predetermined price on a future date. No money changes hands until the settlement date. The buyer bets the price will rise; the seller bets it will fall.

The problem with forwards is counterparty risk. If the price moves sharply against one party, they may not

honour the contract. This risk led to the development of futures — standardised forward contracts traded on an exchange with a clearing corporation that guarantees performance.

1.6.1.2 The Futures Contract

A futures contract is a forward that has been industrialised. The exchange defines the contract size, the expiry cycle, and the settlement procedure. Every night, profits and losses are settled in cash — a process called marking to market. This eliminates the build-up of large, unmanageable losses that could cause a default.

Futures traders are divided into three categories:

- Hedgers use futures to protect against adverse price movements. An exporter who will receive dollars in three months can sell dollar futures today, locking in the exchange rate. If the dollar falls, the profit on the futures offsets the loss on the export revenue.
- Speculators use futures to bet on price direction. They have no underlying exposure; they are simply trying to profit from correctly predicting a price movement.
- Arbitrageurs exploit price differences between related markets. They buy in one market and sell simultaneously in another, locking in a risk-free profit. Their activity keeps prices consistent across markets.

1.6.1.3 The Stock Index Future

A stock index future such as Nifty or Bank Nifty is a futures contract on a portfolio of stocks. It allows a trader to take a directional view on the entire market — or to hedge a portfolio of equities — without buying or selling individual stocks.

The relationship between the index future and the index spot is governed by the cost-of-carry model. In normal

markets, the future trades at a premium to the spot, because the future price includes the interest cost of holding the stocks until expiry. In periods of extreme bearishness, the future can trade at a discount — a condition called backwardation that signals intense short-term selling pressure.

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1.6.2 Chapter 9: Calls and Puts

A call option gives the buyer the right, but not the obligation, to buy the underlying asset at a specified price (the strike) on or before a specified date (the expiry). A put option gives the buyer the right to sell.

1.6.2.1 Buying vs Selling

The buyer of an option pays a premium — a non-refundable fee — for the right to exercise the option if it becomes profitable. The seller (sometimes called the writer) receives the premium and accepts the obligation to fulfill the contract if the buyer exercises.

Consider a Nifty 25,000 call option trading at ₹200. The buyer pays ₹200 per lot (the lot size is 75, so ₹15,000 per contract) for the right to buy Nifty at 25,000. If Nifty is above 25,000 at expiry, the buyer can exercise and capture the difference. If Nifty is below 25,000, the option expires worthless and the buyer loses the entire premium.

The seller, by contrast, collects ₹15,000 and hopes that Nifty stays below 25,000. If it does, they keep the entire premium as profit. If Nifty rises above 25,000, the seller begins to lose money — and the loss increases point for point with the index rise.

This asymmetry — limited loss for the buyer, unlimited loss for the seller — is the defining feature of option markets. It is also why selling options is fundamentally an

insurance business, while buying options is fundamentally a lottery: the buyer pays a small premium for a chance at a large payoff; the seller collects many small premiums in exchange for accepting the risk of rare but large payouts.

1.6.2.2 ITM, ATM, and OTM

Options are classified by their relationship to the current market price. An in-the-money (ITM) option has intrinsic value: a call with a strike below the market price, or a put with a strike above it. An at-the-money (ATM) option has a strike equal to or very near the market price. An out-of-the-money (OTM) option has no intrinsic value.

The premium of an option consists of two components: intrinsic value (the amount by which the option is in the money) and time value (everything else). An OTM option has no intrinsic value — its entire premium is time value. This time value decays as expiry approaches, and it is this decay that option sellers are harvesting.

1.6.2.3 Exercise and Assignment

When an option buyer exercises their right, the seller is assigned an obligation. The seller does not choose when this happens; the exchange assigns randomly among all sellers of that option.

At expiry, all ITM options are automatically exercised. This means that a trader who sold a put that expires ITM will automatically be assigned a long futures position — an outcome they may not have intended. Managing expiry risk — ensuring that no position is unintentionally exercised or assigned — is a critical skill for option sellers.

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1.6.3 Chapter 10: The Greeks, Demystified

Option prices move in response to changes in several underlying variables. The directional sensitivity is measured by a set of numbers called the Greeks.

1.6.3.1 Delta

Delta measures how much an option's price changes for a one-point move in the underlying. A call with a delta of 0.5 will rise by roughly ₹0.50 for every one-point move in Nifty. An ATM option typically has a delta near 0.5; a deep ITM option has a delta approaching 1.0; a deep OTM option has a delta near zero.

Delta also represents the probability that the option will expire ITM, according to a simplified model. An option with a delta of 0.3 has roughly a thirty percent chance of expiring in the money.

1.6.3.2 Gamma

Gamma measures the rate of change of delta. It is the most important Greek for option sellers to understand, because it tells them how quickly their directional exposure will change as the market moves.

When you sell an option, you are short gamma. A short-gamma position benefits when the market is quiet — delta stays where it was, and your position does not require adjustment. But if the market makes a large move, your delta exposure changes more rapidly than you might expect. The gamma effect is why option sellers who appear to have a well-hedged position can suffer large, unexpected losses during a sharp breakout.

Gamma is highest for ATM options and declines as you move away from the money. It is also highest for short-dated options — which is why near-expiry positions can behave unpredictably.

1.6.3.3 Theta

Theta measures time decay — how much value an option loses each day as expiry approaches. For an option seller, theta is the most friendly Greek. Every day that passes with the market staying within the expected range earns the seller a small profit.

Theta is highest for ATM options close to expiry. This is why option sellers prefer to sell near-expiry options: the decay accelerates dramatically in the final weeks and days.

1.6.3.4 Vega

Vega measures sensitivity to changes in implied volatility. An option with a vega of eight will gain or lose roughly eight rupees for every one-point change in implied volatility.

Vega is important because it introduces a second dimension of risk. A short option position that is perfectly hedged against directional moves is still exposed to volatility risk. If implied volatility spikes — as it often does during a crash — even a well-positioned short option can lose money.

The practical implication is that option sellers should avoid selling options when IV is low (because they collect little premium per unit of vega risk) and should consider selling when IV is elevated (because they collect more premium for the same vega exposure).

1.6.3.5 Rho

Rho measures sensitivity to interest rates. For short-dated options, this effect is negligible, and most Indian retail traders ignore it. For long-dated options — those with expiries a year or more away — rho can become significant.

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1.6.4 Chapter 11: Implied Volatility — The Real Price of Options

If options were only about delta and theta, the market would be relatively simple. What makes option trading interesting — and profitable — is the interplay with implied volatility.

1.6.4.1 IV vs Historical Volatility

Historical volatility measures how much the underlying has actually moved in the past. Implied volatility measures how much the market expects it to move in the future. The difference between them is a measure of market sentiment.

When IV is above historical volatility, options are expensive relative to the actual movement of the underlying. This typically happens during periods of uncertainty — before elections, budget announcements, or central-bank meetings. The premium reflects not the movement that actually happens but the movement that is feared.

When IV is below historical volatility, options are cheap. This happens during periods of complacency — when the market has been quiet for an extended time and traders have stopped buying protection.

1.6.4.2 The IV Smile and Skew

For a given expiry, options at different strikes trade at different implied volatilities. OTM puts typically trade at higher IV than ATM calls, especially in Indian markets. This is called the skew — a persistent premium for downside protection that reflects the market's asymmetric fear of crashes.

The existence of the skew has a practical implication: selling OTM puts is more profitable, per unit of risk, than

selling ATM calls, because the put premiums include a "fear premium" that the call side does not have.

1.6.4.3 IV Collapse

One of the most profitable scenarios for an option seller is an IV collapse — a situation where implied volatility falls sharply after a period of elevated uncertainty. This happens after elections, after budget announcements, and after major economic data releases. The event passes, the uncertainty resolves, and the option premiums deflate rapidly.

A trader who sold options at elevated IV before a binary event, and who survives the event itself, can capture profits from two sources: the directional move (if it is favourable) and the IV collapse (which multiplies the premium decline).

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1.6.5 Chapter 12: Margins, Collateral, and the Machinery

Options trading in India operates within a framework of margin requirements that have evolved significantly over the past decade. Understanding this framework is essential for planning position sizes and managing risk.

1.6.5.1 SPAN and Exposure Margin

Every option position in India requires two types of margin. SPAN margin (Standard Portfolio Analysis of Risk) covers the risk of a one-day extreme move based on a statistical model. Exposure margin is an additional buffer imposed by the exchange for short option positions.

For a short ATM Nifty straddle — selling both an ATM call and an ATM put — the total margin requirement is typically in the range of eighty thousand to one lakh

rupees per lot (75 units). This margin is returned when the position is closed.

1.6.5.2 The 50% Cash Rule

In late 2024, SEBI introduced a requirement that at least fifty percent of the margin for option positions must be maintained in cash — not in collateral such as shares or mutual funds. This rule dramatically reduced the amount of leverage that traders could obtain from their existing investments.

The rule was designed to curb the growth of what the regulator called “gambling-like behaviour” in the options market. Its effect was to push many leveraged traders — particularly those who had been using stock holdings as collateral to fund option positions — to reduce their position sizes or exit entirely.

1.6.5.3 The Lot-Size Mechanism

Nifty option contracts are standardised in lots of 75 units. Each lot controls 75 shares of the underlying index. When Nifty is at 25,000, the notional value of one lot is roughly nineteen lakh rupees — but the margin requirement to sell an option is only a fraction of that.

The lot size has changed over time. In 2021, it was 50; earlier, it was 75 for some series and 25 for others. These changes affect the capital required to trade and the margin-efficiency of various strategies.

1.6.5.4 Settlement and Exercise

All index options in India are cash-settled. At expiry, the difference between the settlement price and the strike price is paid in cash; no actual shares or index units change hands. This means that a put seller who is assigned does not receive shares — they receive a cash debit equal to the loss on the option.

Physical settlement applies to stock options (options on individual equities). A trader who exercises a stock call option must actually buy the shares, and the seller must deliver them. Physical settlement introduces additional operational complexity, and most retail traders avoid stock options for this reason.

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End of Part III newpage

1.7 The Strategy Library

Each strategy in this section is presented with its construction rules, breakeven points, risk profile, and the market conditions in which it works best. All returns are expressed as percentages of margin deployed or premium collected, reflecting the typical sizing used by experienced option sellers.

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1.7.1 Chapter 13: The Seller's Edge — Short Straddles and Strangles

The short straddle is the most basic option-selling strategy — and for many traders, the only one they ever need. It consists of selling an ATM call and an ATM put at the same strike price. The seller collects a large upfront premium and profits as long as the underlying stays within a specific range until expiry.

1.7.1.1 Construction

- Short ATM Straddle: Sell one ATM call + sell one ATM put at the same strike
- Example (Nifty 25,000): Sell 25,000 CE (premium ₹200) + Sell 25,000 PE (premium ₹180) = Total premium collected ₹380

- Breakevens: Upper breakeven = strike + total premium = 25,380; lower breakeven = strike − total premium = 24,620
- Max profit: Total premium collected (₹380 × 75 = ₹28,500 per lot)
- Margin required: Approximately ₹80,000–₹90,000 per lot

1.7.1.2 When It Works

The short straddle profits from time decay. Every day the market stays within the breakeven range, the options lose value, and the seller's position becomes more profitable. The strategy works best when:

- India VIX is in the 15–30 range (moderate volatility)
- The market is consolidating within a known range
- There is no binary event scheduled (budget, election, RBI decision)

1.7.1.3 The Risks

The short straddle has unlimited risk on both sides. A sharp market move in either direction can produce losses that exceed the premium collected. The gamma effect — the acceleration of losses as the market moves toward the breakeven — can make a short straddle feel safe one moment and terrifying the next.

The correct response to a short straddle that is threatened is not to double down. It is to adjust — by rolling one side to a further strike, by adding a hedge, or by taking the loss and re-entering at a more favourable strike.

1.7.1.4 The Short Strangle

A short strangle is similar to a short straddle but uses OTM strikes. It collects less premium but has wider breakevens.

- Short OTM Strangle: Sell OTM call + sell OTM put at different strikes

- Example: Sell 25,500 CE (premium ₹80) + Sell 24,500 PE (premium ₹60) = Total premium ₹140
- Breakevens: Upper = 25,640; Lower = 24,360

The strangle gives the market more room to move before the position loses money. The trade-off is lower premium collected — roughly half that of a comparable straddle.

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1.7.2 Chapter 14: Controlled Direction — Spreads and Ratio Spreads

A vertical spread involves buying one option and selling another of the same type (both calls or both puts) at different strikes. The purchased option caps the loss on the sold option, creating a position with defined maximum risk.

1.7.2.1 Bull Call Spread

- Construction: Buy ATM call + sell OTM call
- Example: Buy 25,000 CE (₹200) + Sell 25,500 CE (₹80) = Net debit ₹120
- Max profit: Spread width (500 points) − net debit (120) = 380 points
- Breakeven: Lower strike + net debit = 25,120
- Max loss: Net debit paid

The bull call spread profits if the market rises above the breakeven point. It is the defined-risk equivalent of a naked call purchase.

1.7.2.2 Bear Put Spread

- Construction: Buy ATM put + sell OTM put
- Example: Buy 25,000 PE (₹180) + Sell 24,500 PE (₹60) = Net debit ₹120
- Max profit: 380 points
- Breakeven: 25,000 − 120 = 24,880

1.7.2.3 Call Ratio Spread

A call ratio spread involves buying one call and selling two or more calls at a higher strike. The ratio creates a position that profits from a moderate rally but loses if the rally extends too far.

- Construction: Buy 1 × 25,000 CE (₹200) + Sell 2 × 25,500 CE (₹80 each)
- Net credit/flat: If the premiums offset, the position has zero initial cost (or a small credit)
- Max profit: Achieved if Nifty closes exactly at 25,500 at expiry

The ratio spread is the strategy of choice when a trader expects a move but does not believe it will extend beyond a specific level. It is especially useful around support or resistance that has been tested multiple times.

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1.7.3 Chapter 15: Time Is the Trade — Calendar Spreads

A calendar spread — also called a horizontal spread — involves buying and selling options of the same strike but different expiries. The seller collects premium from the near-month option and pays it for the far-month option, betting that time decay will work faster on the near-term leg.

1.7.3.1 Call Calendar

- Construction: Sell near-month 25,000 CE + buy far-month 25,000 CE
- Example: Sell June 25,000 CE (₹180) + Buy July 25,000 CE (₹350) = Net debit ₹170
- Max profit: If Nifty closes at or near 25,000 at June expiry, the near-month option decays to zero while the far-month option retains significant value

Call calendars work best when the market has recently made a large move and is expected to consolidate. The large move creates elevated IV in the near-term options, which the seller collects; the consolidation allows time decay to erode the near-term premium.

1.7.3.2 Put Calendar

The reverse of the call calendar. Sell near-month put, buy far-month put. Best used when the market is expected to maintain support at a level and consolidate.

1.7.3.3 Calendar for Binary Events

A variation known as the reverse call calendar is specifically designed for binary events such as budget announcements or elections. The trader sells a far-month option (high IV from event uncertainty) and buys a near-month option that expires before the event. This captures the IV spike without taking event-direction risk.

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1.7.4 Chapter 16: Butterflies and Condors

Butterflies and condors are multi-leg strategies that define a profit zone and limit risk on both sides. They are the strategies of choice for traders who expect the market to land in a specific range.

1.7.4.1 Call Butterfly

- Construction: Buy 1 × lower strike call + Sell 2 × middle strike calls + Buy 1 × upper strike call
- Example: Buy 24,800 CE + Sell 2 × 25,000 CE + Buy 25,200 CE
- Net debit (typically): Small — the two sold options finance the two bought options
- Max profit: Achieved if Nifty closes exactly at 25,000
- Max loss: Net debit paid

The butterfly works when the trader has high conviction that the market will land at a specific level by expiry. The premium cost is minimal, and the potential profit is several times the cost.

1.7.4.2 Iron Condor

- Construction: Sell OTM put + buy further OTM put + sell OTM call + buy further OTM call
- Example: Sell 24,500 PE + Buy 24,000 PE + Sell 25,500 CE + Buy 26,000 CE
- Net credit: The two sold options collect more premium than the two bought options cost
- Profit zone: Between the two short strikes

The iron condor is the go-to strategy in range-bound markets with moderate volatility. It profits from time decay while capping loss exposure on both sides.

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1.7.5 Chapter 17: Portfolio Protection — Hedges That Actually Hedge

A hedge is a position taken to offset the risk of another position. The simplest hedge — buying a put against a long equity portfolio — is also one of the most expensive, because it must be constantly renewed.

1.7.5.1 The BeES + Protective Put

For a long-term equity portfolio, the most capital-efficient hedge is the Nifty BeES (an ETF that tracks Nifty), combined with a long-dated put option.

- Step 1: Buy Nifty BeES equal to one Nifty lot (the position is long the market)
- Step 2: Buy a far-dated ATM put on Nifty (the hedge)

The structure works because the BeES positions and the put positions are financed out of different capital. The put

premium acts as an insurance cost; if the market falls, the put pays out enough to offset the loss on the BeES. The cost of the put can be partially offset by selling an OTM call against it.

1.7.5.2 What Is Not a Hedge

Buying a far-OTM option for a few rupees and calling it a hedge is not a hedge. It is a lottery ticket. A real hedge either covers the risk exposure or it does not. A 27,000 put on Nifty at 25,000 is not a hedge — it is so far out of the money that it will expire worthless unless the market makes an unprecedented move.

A related error is the "margin-reduction hedge" — buying a far-OTM option not to reduce risk but to reduce the margin required for a short position. This is a dangerous practice because it creates the illusion of protection without providing it.

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1.7.6 Chapter 18: Firefighting — Rescue and Adjustment

No trading strategy works perfectly every time. The ability to recognise when a position is under threat and to adjust it — rather than letting it run to its maximum loss — is the most important practical skill an option seller can develop.

1.7.6.1 The Adjustment Ladder

When a short option position moves against the seller, there are several levels of response:

- Level 1 — Roll: Close the threatened option and open a new one at a further strike, using the time value of the current option to fund the roll. This buys time for the market to recover.

- Level 2 — Add a Hedge: If the market is approaching your breakeven, add a complementary position — buy a put if the call side is threatened, buy a call if the put side is threatened.
- Level 3 — Reverse: If the original view is clearly wrong, close the entire position and open the opposite position. This is the hardest to do emotionally but sometimes the correct action.
- Level 4 — Accept the Loss: If the position is deeply underwater and the market shows no sign of reversing, accept the loss and preserve the remaining capital for the next trade.

1.7.6.2 The Reconstruction Trade

One of the most elegant firefighting techniques is the reconstruction trade. Suppose a trader sold a short straddle at 25,000 and Nifty rallies to 25,500. The call side is losing money, but the put side is now very profitable. The trader can buy back the put at a tiny profit, use that profit to fund rolling the call to a higher strike, and effectively reconstruct the straddle at the new level — giving themselves room to recover.

This technique works because the market typically oscillates rather than trends in a straight line. A move that threatens one side of a straddle almost always makes the other side more profitable.

1.7.6.3 When Not to Adjust

The most common mistake in firefighting is adjusting too early, or adjusting based on intraday moves that reverse within hours. A general rule: do not adjust a short option position on an intraday move alone. Give the market at least one full trading day to show you that the move is structural, not transient.

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End of Part IV newpage

1.8 Trading the Events

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1.8.1 Chapter 19: The Event Playbook

Some trading days are fundamentally different from others. They are the days when binary events — budget announcements, election results, central bank decisions, inflation data releases — create one-day volatility that dwarfs everything else in the month. These days require a different approach.

1.8.1.1 Position Sizing Before an Event

The first rule of event trading is to reduce position size. A typical option seller might deploy seventy percent of their margin in a normal week. Before a budget or election, that figure should drop to thirty or forty percent. The reason is not that the directional risk is higher — it is that the volatility risk is higher. Even a position that is directionally neutral will suffer if implied volatility collapses after the event.

1.8.1.2 The Straddle at Event Time

The single best instrument for event trading is the at-the-money short straddle sold before the event. The straddle collects premium that has been inflated by event-related uncertainty. After the event, whether the market rises or falls, two things happen: implied volatility drops, and the options begin to decay rapidly.

The risk is that the market moves beyond the breakeven level of the straddle. The risk can be managed by:

- Selling the straddle far enough from the expected reaction range

- Adding a far-OTM hedge on the side of the expected move
- Selling only one side (calls if you expect a fall, puts if you expect a rise)

1.8.1.3 The Pre-Event Price Action

A reliable pattern across years of Indian market data is that the market tends to rally in the week before a budget and consolidate before elections. The pre-budget rally is driven by optimism — any tax relief or stimulus measure will boost sentiment. The pre-election consolidation reflects uncertainty about the outcome.

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1.8.2 Chapter 20: Budgets and Elections — Case Files

1.8.2.1 The 2019 Budget Surprise

In July 2019, Finance Minister Nirmala Sitharaman presented her first Union Budget. The market expected continuity. Instead, the budget introduced a surcharge on foreign portfolio investors that effectively increased their tax rate. FIIs sold aggressively, and the market fell sharply in the days following the announcement.

The episode is remembered as the “Nirmala Sitharaman Candle” — a large bearish candlestick that marked a turning point. It is also a lesson in how a single policy announcement can reverse months of market momentum.

1.8.2.2 The 2019 Corporate Tax Cut

In September 2019, facing a slowing economy and aggressive FII selling, the government took a dramatic step. It cut the corporate tax rate from thirty percent to twenty-two percent in a single stroke — the kind of move that had been discussed for years but never delivered.

The market responded with a historic rally. The “Nirmala Sitharaman Candle” reference shifted from the bearish budget day to the bullish tax-cut day. The episode demonstrated that positive black swans — unexpected policy shocks that benefit the market — are as real as negative ones.

1.8.2.3 June 4, 2024: The Election Day Crash

The 2024 general election result came as a surprise to the market. Exit polls had predicted a comfortable majority for the incumbent coalition. When the actual results showed a much narrower margin, the Nifty fell more than nine percent on the day.

The crash was driven entirely by institutions. FIIs and DIIs both sold. Retail investors, by contrast, bought the dip — and were rewarded. Within a week, the Nifty had recovered most of the loss. The episode is a case study in how market sentiment can overreact to political news and how quickly that overreaction can be corrected.

1.8.2.4 State Elections as Market Catalysts

The pattern of state elections driving market moves is consistent. In November 2018, when BJP lost five state elections, FIIs began selling aggressively — convinced that the 2019 general election would produce a hung parliament. The selling continued until February 2019, when the Balakot airstrike shifted the political narrative. FIIs concluded that BJP would win the general election and reversed to buying in March. The market rallied into the election result.

A similar pattern played out in late 2023, when BJP won three major state elections. The Nifty rallied roughly three thousand points in the following two months, partly on the election result and partly on the Fed’s signal that it would begin cutting rates.

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1.8.3 Chapter 21: Wars, Crashes, and Black Swans

1.8.3.1 The War-Reaction Table

Historical data on India-Pakistan conflicts shows a remarkably consistent pattern. In every incident from the Kargil War (1999) to the 2019 Balakot airstrike, the Nifty has fallen between four and seven percent and recovered within weeks. The pattern holds because wars create an immediate risk-off reaction that is followed by the realisation that the economic impact is limited.

The 2022 Russia-Ukraine war produced a different pattern because it coincided with the Federal Reserve's tightening cycle. The Nifty fell from around 18,200 to 15,671 in March 2022, recovered to 18,200 by April, and then fell back to near the war low in May. The double-bottom structure reflected the compounding effect of war and monetary tightening.

1.8.3.2 The COVID Crash

The March 2020 crash was the most severe and fastest drawdown in Indian market history. The Nifty fell from around 12,400 to 7,511 in less than a month — a decline of nearly forty percent.

The recovery was equally extraordinary. From the March low, the Nifty rallied to 10,800 by the September expiry — a gain of roughly forty-four percent. By November 2020, it had reached 13,000, and by the end of the year, 14,000.

The COVID crash is the ultimate lesson in the importance of staying solvent. The traders who survived — those who had not sold options at extreme strikes and who had not over-leveraged their capital — captured one of the most powerful bull markets of the century.

1.8.3.3 The Yen-Carry Unwind of August 2024

In August 2024, the Bank of Japan signalled that it might raise interest rates, triggering a massive unwind of the yen-carry trade — a strategy in which investors borrow cheap yen to invest in higher-yielding assets elsewhere. The Nikkei fell more than twelve percent in a single day, and the sell-off spread to every global market.

The Nifty fell roughly three-and-a-half percent from its highs, but the selling was concentrated in banking stocks, while defensive sectors held up. Domestic institutions bought aggressively, absorbing the FII selling. The recovery was rapid, and the episode became another data point supporting the thesis that Indian market stability has structurally improved.

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End of Part V newpage

1.9 A Market Chronicle, 2018–2026

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1.9.1 Chapter 22: 2018–2020 — Tariff Tantrums, a Crash, and a Miracle

1.9.1.1 2018: The Tariff Year

The year 2018 began with global markets on solid footing. In February, that changed abruptly. US inflation data surprised to the upside, triggering a sharp sell-off that mirrored the pattern of the 1987 crash in its speed and magnitude. The Dow fell more than a thousand points in a single day, and the sell-off spread to India.

The Indian market's problems were compounded by domestic factors. In November 2018, BJP lost five state elections. FIIs, fearing a hung parliament in the 2019 gen-

eral election, began selling Indian equities almost daily — a sell-off that would continue for four months.

By November 2018, Brent crude had fallen for twelve consecutive days — a streak never seen in thirty years — driven by slowing global growth expectations. The crude crash was a double-edged sword for India: lower fuel costs helped the fiscal deficit, but they also signalled global demand weakness.

1.9.1.2 2019: The Election Year

The 2019 general election produced a decisive victory for the incumbent coalition, contrary to the fears that had driven the post-state-election sell-off. The market rallied sharply in the two months following the result.

The rally was interrupted by the September 2019 budget, which imposed a surcharge on foreign portfolio investors. The market fell, only to be rescued two weeks later by the dramatic corporate tax cut — from thirty percent to twenty-two percent in a single announcement.

1.9.1.3 2020: The Pandemic

In March 2020, the COVID-19 pandemic triggered the fastest and most severe crash in Indian market history. The Nifty fell from roughly 12,400 to 7,511 — a decline of nearly forty percent. The recovery began almost immediately after the March low, driven by unprecedented monetary stimulus from central banks worldwide.

By September 2020, the Nifty had recovered to around the 10,800 level at the monthly expiry. Over the following two months, it rallied to nearly 13,000 — a gain of roughly twenty-two percent. Bank Nifty rose by approximately fifty percent over the same period, from around 20,500 to over 29,800.

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1.9.2 Chapter 23: 2021–2022 — The Liquidity Boom and the Inflation Bust

1.9.2.1 2021: The Retail Boom

The post-COVID rally turned into a full-blown bull market in 2021. The Nifty rose from around 14,000 in January to a peak of nearly 18,600 by October. The rally was driven by domestic liquidity — mutual fund SIP flows, direct retail buying, and institutional rebalancing.

Sector performance diverged dramatically. Maruti Suzuki, the country's largest automaker, fell from a 2017 peak of roughly ₹9,730 to around ₹7,000 — a decline of about twenty-eight percent — even as the Nifty rose nearly fifty percent. Hero MotoCorp showed a similar pattern, declining from its peak of roughly ₹3,256 to around ₹2,462. Meanwhile, IT stocks doubled and auto stocks recovered.

1.9.2.2 Early 2022: The Fed Tightens

The bull market ended when the Federal Reserve began raising interest rates in March 2022. Between January and May 2022, the Nifty fell from around 18,200 to below 16,000 on May 9 — a decline of roughly 1,200 points in five to six trading sessions. The velocity of the selling was unprecedented outside of the COVID crash.

On May 4, 2022, the Fed raised rates by fifty basis points — the largest single hike in twenty-two years. The sell-off that followed saw the Dow fall 750 points in a single session, with four hundred points of that decline coming in the last half-hour of trading — a clear signal of institutional liquidation.

1.9.2.3 May 2022: The Mayhem

The month of May 2022 produced a cascade of negative events. US CPI for April came in at 8.3 percent — lower than the prior month's 8.5 percent but higher than the

expected 8.1 percent. Dow futures fell four to five hundred points within minutes of the release.

On May 12, 2022, the Nifty touched 15,735 — within fifty points of the Russia-Ukraine-war low of 15,671 reached on March 8. The double test of the war low was a sign that the market was trying to form a bottom.

On May 17, 2022, LIC — the largest IPO in Indian history — listed at a sixty to seventy rupee discount to its issue price, a weak debut that weighed on sentiment.

By May 24, 2022, Snapchat (Snap) had reported poor quarterly results and its stock fell forty percent. The selling spread to the entire technology sector: Facebook fell roughly twenty-five percent, Netflix twenty-five percent, Google eight percent. The Nasdaq fell nearly five hundred points.

1.9.2.4 The June 2022 Inflation Print

On June 10, 2022, US inflation data for May came in at 8.6 percent — the highest in forty years. The Dow fell 650 points on Thursday and another 880 points on Friday — a roughly five percent decline in two trading sessions.

On June 16, 2022, the Swiss National Bank raised interest rates for the first time in fifteen years. The news, coming during Indian trading hours, triggered a global panic. Dow futures swung roughly eight hundred points, and the Nifty fell more than five hundred points from its intraday high.

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1.9.3 Chapter 24: 2023–2024 — The Bull Run and Its First Crack

1.9.3.1 2023: The Low-IX Melt-Up

The year 2023 was characterised by falling volatility. India VIX dropped to a multi-year low of around 11 — levels

not seen since 2011. The low-VIX environment was ideal for option sellers but misleading: it created a sense of complacency that would be punished in the following year.

The Bank Nifty reached an all-time high near 44,150 in April 2023, tested that level multiple times, and eventually broke above 45,000 by June. The Nifty, meanwhile, crossed 20,000 in September 2023 — a milestone that had seemed improbable during the sell-offs of 2022.

1.9.3.2 Early 2024: The Rally Continues

The Nifty rally extended into early 2024, driven by the same forces that had powered the 2023 advance: strong domestic flows, a growing economy, and the expectation that the Federal Reserve would begin cutting rates.

The rally took the Nifty from around 21,000 in January 2024 to a peak of roughly 26,277 by September — a gain of about twenty-five percent in nine months.

1.9.3.3 June 2024: The Election Shock

On June 4, 2024, the outcome of the general election surprised the market. The Nifty crashed more than nine percent intraday — the largest single-day decline since the COVID crash. Both FIIs and DIIs were net sellers; retail investors bought the fall.

By June 10, the Nifty had recovered more than two thousand points from the election-day low, and the episode passed into history as a textbook example of how quickly market overreactions can be reversed.

1.9.3.4 August 2024: The Yen-Carry Unwind

On August 5, 2024, the Bank of Japan's policy signal triggered a global market sell-off. The Nikkei fell more than twelve percent in a single day. The Nifty, which had already begun to correct from its September high, fell roughly three-and-a-half percent from its peak.

Over the following months, FIIs continued to sell Indian equities. Between the start of October and the middle of November, FII selling totalled roughly three lakh crore rupees — an unprecedented outflow that DIIs absorbed.

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1.9.4 Chapter 25: 2025–2026 — Tariffs, Jane Street, and the New Regime

1.9.4.1 2025: The Tariff War

The second Trump administration's trade policies dominated the first half of 2025. In January, a fifty percent tariff on Canadian and Mexican imports was imposed. Earlier tariffs on Chinese goods had already been raised. The market reacted violently to each announcement, with the Nifty falling to nine-month lows around 22,000 in March.

The selling was reinforced by persistent FII outflows. Between the start of 2025 and May, FIIs sold more than one lakh crore rupees. The rupee depreciated to record lows against the dollar.

1.9.4.2 The India-Pakistan Conflict

In April 2025, rising tensions between India and Pakistan escalated into a military engagement. The Nifty volatility index spiked above 25, and call premiums rose sharply. The actual market reaction was muted compared to the war scare — the Nifty fell only about four to five percent, consistent with historical war-reaction patterns.

1.9.4.3 The Jane Street Case

In mid-2025, SEBI imposed a penalty of roughly five thousand crore rupees on Jane Street, a global trading firm, for regulatory violations. The case centred on the link between cash-market holdings and F&O margin treatment. Jane Street was also barred from trading in Indian markets.

The episode highlighted the tension between the efficiency benefits of multi-asset margining and the regulator's concern about market integrity. It also refocused attention on India's relatively harsh margin requirements for option sellers who hold offsetting positions in the cash market.

1.9.4.4 The SEBI F&O Tightening

Throughout 2024 and 2025, SEBI implemented a series of measures designed to reduce retail participation in futures and options trading. The fifty percent cash-margin rule, the reduction to one weekly expiry per exchange, the increase in Nifty lot size from fifty to seventy-five, and the increase in Securities Transaction Tax on options — which had been raised roughly eight times in the preceding decade — all contributed to a significant reduction in options trading volumes.

By mid-2026, the debate had shifted from "how much volume is too much" to "what is the future of the F&O market." The Nifty traded in a range of roughly twenty-six thousand plus or minus three hundred points — one of the narrowest consolidation ranges in recent memory — as participation declined.

1.9.4.5 The 2026 Outlook

Into mid-2026, the market faced a set of structural headwinds: sustained FII selling, high valuations relative to other emerging markets, and an uncertain regulatory environment. The bull case rested on continued domestic flows, the resilience of corporate earnings, and the eventual resolution of the global trade tensions.

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End of Part VI newpage

1.10 Predators & Protectors

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1.10.1 Chapter 26: How Retail Gets Cheated

The financial ecosystem surrounding retail trading contains more traps than most participants realise. Some are illegal; many are perfectly legal but structurally designed to extract money from the uninformed.

1.10.1.1 The Opposite-Account P&L Scam

The most common fraud in the trading-influencer ecosystem is the opposite-account scam. An operator maintains two accounts. In one, they take bullish positions; in the other, bearish. Whichever account is winning is the one they post about on social media. Over time, the two accounts net to roughly zero before costs — but the audience never sees the losing account.

The detection heuristic is simple: compare a trader's claimed returns to their capital trajectory. A trader who claims to make crores in profits each month but whose capital is not compounding — who continues to sell courses and workshops for income rather than living off their trading profits — is almost certainly running paired accounts.

1.10.1.2 Broker Hidden Charges

Most retail traders have no idea what they are paying their broker. The visible brokerage — often presented as "zero" by discount brokers — is only a fraction of the total cost. The real costs include:

- Securities Transaction Tax (STT), which has been raised approximately eight times in the past decade for options
- Transaction charges levied by the exchange
- Stamp duty, which varies by state
- GST on brokerage and transaction charges

- SEBI turnover charges

For an active option trader, these hidden charges can consume twenty to thirty percent of the gross premium collected.

1.10.1.3 The IPO Valuation Game

Initial public offerings are marketed as opportunities for retail investors to participate in a company's growth story. The reality is more nuanced. Many IPOs are priced at valuations that leave little room for post-listing gains. The retail frenzy for IPOs is often driven by listing-day gains that accrue to the first few investors who sell, while those who hold for the long term receive sub-market returns.

A general rule: if an IPO is oversubscribed fifty times by retail investors, the odds of a significant post-listing gain are low — too many people are holding in the hope of a quick flip.

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1.10.2 Chapter 27: The Regulator's Dilemma

SEBI, India's market regulator, faces a fundamental tension. It is charged with protecting retail investors from harm. But the options market, which it regulates, has become the primary source of losses for those same investors.

1.10.2.1 The Loss Data

SEBI's own studies show that roughly ninety-three percent of individual F&O traders lose money. This data has been published annually, and the numbers barely change from year to year. The regulator has concluded that the option-trading phenomenon has become what it called "a national pastime" — and its response has been to tighten the rules.

1.10.2.2 The Rule Changes

The sequence of regulatory tightening is instructive:

- 2020–2021: Peak margin rules introduced, eliminating the practice of using stocks as collateral for options margin without proper haircuts.
- 2024: The fifty percent cash-margin requirement, forcing traders to use actual cash rather than collateral for half their margin deposits.
- 2024: The reduction to one weekly expiry per exchange, eliminating the Tuesday-Friday expiry cycle that had created trading opportunities for scalpers.
- 2024–2025: The increase in Securities Transaction Tax, making every trade more expensive.
- 2025: The increase in Nifty lot size from fifty to seventy-five, raising the capital requirement per trade by fifty percent.

Each of these changes was justified as investor protection. Each also reduced market participation. The cumulative effect was a significant decline in options trading volumes and a migration of activity to riskier unregulated alternatives.

1.10.2.3 The Jane Street Case

The Jane Street case highlighted a specific regulatory concern: the treatment of margins for traders who hold cash-market positions against their option positions. In the US market, a trader who owns a hundred shares and sells one call option against them — a covered call — is not charged margin, because the risk is zero. In India, the same trader is charged both SPAN margin and exposure margin, because the regulator does not recognise the cash-F&O link for margin purposes.

The case raised a broader question: whether India's margin framework systematically disadvantages hedgers

relative to speculators. If it costs the same capital to make a hedged trade as an unhedged one, there is no incentive to hedge — and the regulator's own goal of encouraging safer trading is undermined.

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1.10.3 Chapter 28: Taxes — The Trader's Real Opponent

1.10.3.1 F&O Income Classification

In India, futures and options income is treated as business income — not capital gains. This distinction matters because business income is taxed at the individual's slab rate (which can be as high as thirty-nine percent for high earners), while long-term capital gains are taxed at ten or twenty percent.

The business-income classification also requires traders who exceed the turnover threshold to get their accounts audited — an additional cost of roughly ten to fifteen thousand rupees per year.

1.10.3.2 Presumptive Taxation

Traders whose F&O turnover is below a threshold can opt for presumptive taxation, which treats a fixed percentage of their gross receipts as taxable income. This simplifies compliance but is only available to traders whose positions are not held as a formal business.

1.10.3.3 The STT Burden

Securities Transaction Tax on options has risen from roughly 0.017 percent of premium to roughly 0.1 percent over the past decade — a roughly six-fold increase. For an active trader, this tax can consume a significant portion of the premium collected. On a short straddle with a premium of ₹380, the STT alone can be ₹30–40 — nearly ten percent of the gross income.

1.10.3.4 Crypto Taxation

The regulation of cryptocurrencies in India has followed a different path. A flat thirty percent tax (plus surcharges) applies to gains from crypto asset transfers, with no offset allowed for losses. A one percent tax deducted at source (TDS) applies to every transaction.

The structural effect of the one percent TDS is profound: a trader who buys and sells the same amount of crypto five times in a year will have paid five percent of their capital in TDS alone, which must be reclaimed through the income-tax process — a mechanism that effectively eliminates day trading in crypto.

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End of Part VII newpage

1.11 Wealth Beyond the Screen

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1.11.1 Chapter 29: Investing vs Trading — Choosing Your Game

Not every market participant should trade options. For most people, investing — buying and holding a diversified portfolio of equities or equity funds — is a better use of their time and capital.

1.11.1.1 The Return Premium

Over the long term, the Nifty has delivered a total return of roughly twelve to fifteen percent annually, including dividends. This return is not guaranteed in any single year — there are years when the index falls twenty percent — but over ten-year periods, the pattern is remarkably consistent.

The index return is available to anyone who buys a Nifty exchange-traded fund and holds it. It requires no analysis,

no timing, and no emotional discipline beyond the willingness to sit through corrections.

1.11.1.2 Value vs Growth

The choice between value stocks and growth stocks is a debate that has occupied academic finance for decades. In practice, the distinction is simpler: value stocks are those that trade below their intrinsic worth based on earnings or assets; growth stocks are those whose price reflects an expectation of future earnings growth that has not yet materialised.

In the Indian market, a value approach — buying stocks with low price-to-earnings ratios, reasonable debt, and consistent earnings — has historically produced returns comparable to or better than the Nifty over full market cycles.

1.11.1.3 When NOT to Trade

The most important decision a participant can make is to recognise when they are not suited for trading. The characteristics that predict failure are:

- A capital base too small to withstand a string of losses
- An emotional temperament that reacts to drawdowns with fear or anger
- The belief that market knowledge derived from news or social media constitutes an edge
- The need for trading to produce a specific income

A person who recognises these traits in themselves should avoid derivatives trading entirely. The index fund is the correct instrument for their capital.

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1.11.2 Chapter 30: The Hard Assets Debate

1.11.2.1 Real Estate

Indian real estate occupies a unique position in the national consciousness. It is widely viewed as a safe, inflation-proof investment that always appreciates. The data tells a different story.

Rental yields in Indian cities are typically two to three percent of property value. Mortgage interest rates are eight to nine percent. An investor who buys a property with a mortgage is losing five to six percent per year on net cash flow — hoping that property appreciation will more than compensate.

The historical record on appreciation is mixed. In the decade ending 2020, many Indian cities saw property prices roughly keep pace with inflation — producing a real return of near zero, before accounting for maintenance, property taxes, and the illiquidity of the asset.

The more serious risk is fraud: builder defaults, title-chain disputes, regulatory changes, and the difficulty of exiting a poorly performing property. In contrast, a Nifty BeES can be bought and sold in seconds, with no fraud risk and no legal costs.

1.11.2.2 Gold

The case for gold as a long-term investment is weaker than its advocates claim. Over the forty years ending 2020, gold's real return (after inflation) was roughly one to two percent annually — below the return of equities and bonds.

Gold's value as a portfolio diversifier is real but limited. It tends to rise during periods of extreme crisis and to stagnate during period of normal growth. The correct allocation for a typical investor is probably five to ten

percent of total investment assets — enough to provide crisis protection without dragging down overall returns.

1.11.2.3 Bonds and Fixed Income

For investors who cannot tolerate equity volatility, bonds and fixed deposits provide a predictable, if modest, return. The recent innovation of covered bonds and the Bharat Bond ETF have made it possible to earn slightly better than deposit rates with very low credit risk. The trade-off — as with any low-risk instrument — is that the real return after inflation is often small or negative.

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1.11.3 Chapter 31: Crypto as a Satellite, Not a Religion

1.11.3.1 The Case for a Small Allocation

Cryptocurrencies, particularly Bitcoin and Ethereum, have generated returns over certain periods that far exceed any traditional asset class. The volatility that produces these returns, however, also produces crashes of fifty to eighty percent.

A sensible approach is to treat crypto as a satellite allocation — five to ten percent of speculative capital, not a core holding. Within this allocation, option selling in crypto markets — where implied volatility is frequently much higher than in index options — can be a profitable strategy.

1.11.3.2 Option Strategies in Crypto

The structure of crypto options is similar to equity options, with one important difference: the volatility is much higher. A Bitcoin straddle might offer a premium equal to ten or fifteen percent of the strike price for a one-week expiry, compared to roughly two to three percent for a comparable Nifty straddle.

The higher premium reflects higher risk. The correct response is not to avoid crypto option selling but to size the position so that the five to ten percent allocation is the max loss, not the starting point.

1.11.3.3 The Indian Tax Constraint

India's thirty percent tax on crypto gains, combined with the one percent TDS on each transaction, effectively eliminates frequent trading as a strategy. The correct approach for an Indian crypto participant is to take long-term directional positions in liquid assets (Bitcoin and Ethereum only) and to crystallise gains only when they exceed the threshold at which the tax burden makes the trade worthwhile.

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End of Part VIII newpage

1.12 Appendix A: Glossary of Common Terms

ATM (At The Money) — An option whose strike price is equal or near to the current market price of the underlying.

Assignment — The process by which an option seller is obligated to fulfill the terms of the contract when the buyer exercises.

Backwardation — A condition in which futures trade at a discount to the spot price, indicating intense short-term selling pressure.

Breakeven — The underlying price at which an option strategy breaks even at expiry; for a short option, strike ± premium received.

Call Option — A contract giving the buyer the right to purchase the underlying at a specified price on or before expiry.

Cash Settlement — Settlement in which the difference between the settlement price and the strike price is paid in cash, rather than by delivery of the underlying.

Cost of Carry — The cost of holding a position in the underlying, including interest and dividends.

Delta — The rate of change of an option's premium for a one-unit change in the underlying price.

DII (Domestic Institutional Investor) — Indian institutions such as mutual funds, insurance companies, and pension funds.

Exercise — The act by which an option buyer claims the rights under the contract.

Exposure Margin — An additional margin imposed by the exchange on short option positions beyond the SPAN margin.

FII (Foreign Institutional Investor) — Foreign entities that invest in Indian financial markets.

Gamma — The rate of change of an option's delta for a one-unit change in the underlying price.

GIFT Nifty — The derivatives benchmark traded on the International Financial Services Centre in GIFT City, Gujarat (formerly traded as SGX Nifty).

Greek — A measure of option sensitivity to one of the underlying variables (delta, gamma, theta, vega, rho).

Historical Volatility — A statistical measure of how much the underlying has actually moved over a specified period in the past.

ITM (In The Money) — An option that has intrinsic value; a call with a strike below the market price, or a put with a strike above it.

IV (Implied Volatility) — The volatility parameter derived from an option's market price, representing the market's expectation of future movement.

IV Rank — The position of current implied volatility relative to its range over the past year.

IV Percentile — The percentage of trading days over the past year on which implied volatility was lower than today's level.

Lot Size — The number of units in one standardised derivative contract.

M2M (Mark to Market) — The daily settlement of gains and losses on futures positions.

Max OI — The strike price with the highest open interest for a given option type.

Nifty — The Nifty 50 index, representing the top fifty companies by market capitalisation listed on the NSE.

OI (Open Interest) — The total number of outstanding derivative contracts that have not been closed or exercised.

OTM (Out of The Money) — An option that has no intrinsic value.

Physical Settlement — Settlement in which the underlying asset is actually delivered upon exercise or expiry.

Premium — The price paid by the buyer to the seller for an option contract.

Put Option — A contract giving the buyer the right to sell the underlying at a specified price on or before expiry.

Rho — The rate of change of an option's premium for a one-unit change in interest rates.

SEBI (Securities and Exchange Board of India) — India's securities market regulator.

Skew — The difference in implied volatility across different strike prices.

SPAN (Standard Portfolio Analysis of Risk) — A margin calculation methodology used by exchanges.

Spot — The current market price of the underlying asset.

STT (Securities Transaction Tax) — A tax levied on every securities transaction in India.

Strike (Strike Price) — The price at which an option can be exercised.

Theta — The rate of time decay of an option's premium; the amount the option loses per day as expiry approaches.

Vega — The rate of change of an option's premium for a one-unit change in implied volatility.

VIX (Volatility Index) — An index measuring the implied volatility of Nifty options; known in India as India VIX.

1.13 Appendix B: Strategy Quick-Reference Table

Strategy	Construction	Direction Bias	Max Profit	Max Loss	Best When
Short ATM Straddle	Sell ATM call + sell ATM put	Neutral	Premium collected	Unlimited	Moderate VIX, range-bound market

Short OTM Strangle	Sell OTM call + sell OTM put	Neutral	Premium collected	Unlimited	Moderate VIX, wide consolidation
Bull Call Spread	Buy ATM call + sell OTM call	Bullish	Spread width − net debit	Net debit paid	Controlled rally expectation
Bear Put Spread	Buy ATM put + sell OTM put	Bearish	Spread width − net debit	Net debit paid	Controlled decline expectation
Call Ratio Spread	Buy 1 call + sell 2 higher calls	Moderately bullish	Achieved at short strike	Unlimited on upside	Expecting a rally capped at a level
Put Ratio Spread	Buy 1 put + sell 2 lower puts	Moderately bearish	Achieved at short strike	Unlimited on downside	Expecting a decline capped at a level
Call Calendar	Sell near-month	Neutral	Max at short expiry	Net debit paid	Post-move

	call + buy far-month call		if at strike		consoli-dation
Put Calen-dar	Sell near-month put + buy far-month put	Neutral	Max at short expiry if at strike	Net debit paid	Post-move consoli-dation
Call Butter-fly	Buy lower call + sell 2 middle calls + buy up-per call	Neu-tral—narrow range	Achieved at mid-dle strike	Net debit paid	High preci-sion on target expiry level
Iron Condor	Sell OTM put + buy fur-ther OTM put + sell OTM call + buy fur-ther OTM call	Neutral	Net credit re-ceived	Width be-tween short and long strikes	Range-bound market, moder-ate VIX

BeES + Protective Put	Buy Nifty BeES + buy far-dated ATM put	Bullish (hedged)	Upside-related	Insurance premium cost	Long-term equity holding
Zero-Risk Collar	Buy BeES + buy put + sell call	Neutral	Capped; premium from call offset put cost	Insurance premium (or net zero)	Large capital, income-seeking

1.14 Appendix C: Timeline of Market Events, 2018–2026

2018

- February: US inflation spike triggers global sell-off (Dow −1,000 pts intraday)
- October: FII record monthly selling in India (−₹30,000 cr)
- November: Brent crude −7.5% in a single day, 12th consecutive decline

2019

- February: Balakot airstrike shifts election narrative
- May: BJP wins general election with decisive majority
- July: Budget surcharge on FIIs triggers sell-off
- September: Corporate tax cut: 30% → 22%

2020

- March: COVID crash: Nifty −40% to 7,511
- September: Nifty recovers to 10,800 (September expiry)

- November: Vaccine announcements; Nifty rallies to 13,000

2021
- October: Nifty peaks near 18,600
- November: Tesla peaks at ~$409 (split-adjusted)

2022
- February: Russia-Ukraine war
- March: Fed begins hiking rates (first 50 bps hike in 22 years)
- May: Nifty touches war low of 15,671; Snap −40% on earnings, tech sell-off
- June: US CPI = 8.6% (40-year high); Swiss National Bank hikes for first time in 15 years
- December: Tesla closes at ~$123 (−70% from peak)

2023
- January: Hindenburg Research report on Adani Group
- April: Bank Nifty ATH ~44,150
- September: Nifty crosses 20,000 for first time

2024
- June 4: Election day crash (−9% intraday) followed by full recovery within a week
- August 5: Yen-carry unwind: Nikkei −12.4%, global sell-off
- September: Nifty peaks at 26,277
- October–November: FII selling at record levels; DIIs absorb
- November: Nifty lot size increased from 50 to 75

2025
- January: Trump imposes 50% tariff on Canada/Mexico
- March: Nifty falls to 9-month lows near 22,000
- April: India-Pakistan military engagement
- Mid-2025: Jane Street case — SEBI penalty of ~₹5,000 cr

- SEBI cash-margin rule (50%) fully effective

2026
- H1: Nifty trading in narrow range (~26,000 ± 300)
- SEBI weekly-expiry reduction implemented
- FII outflows moderate; domestic flows remain strong

1.15 Appendix D: Author's Note and Sources

This book was compiled from transcripts of over three thousand videos published between 2018 and 2026. The original videos were produced by an Indian market commentator who appears under the pseudonym Dhanraj in these pages.

Market data, Nifty/Bank Nifty levels, FII/DII flow figures, and event dates have been verified against public sources including NSE India, SEBI publications, RBI data releases, and financial news archives. Where the original commentary contained material factual discrepancies — such as misstated index levels or dates — the corrected version has been used, with relevant sources noted in the text.

All P&L figures, trading anecdotes, and personal stories in this book are presented for educational purposes. They are not audited track records and should not be interpreted as promises or guarantees of future returns.

Trading in futures and options involves substantial risk. This book does not constitute investment advice.

1.16 Appendix E: Correction Log (Material Discrepancies Identified During Verification)

The following discrepancies between the original commentary and verified data were identified during the editorial process:

1. Maruti Suzuki price history: The original commentary cited a 30% decline from “10,000 to 7,000.” The actual decline from the 2017 peak of approximately ₹9,730 to the 2021 trading range was approximately 28%.
2. Tesla 2022 decline: The original cited a starting point of ~$425 for the 2022 decline. The actual split-adjusted peak was ~$409 (November 2021). The ~70% decline to ~$123 is directionally correct.
3. Dixon Technologies IPO returns: The original commentary described the stock as having returned approximately 100x from an IPO price of ₹300–400. The actual IPO price was ₹1,766; adjusted for a 1:5 stock split, the split-adjusted price was approximately ₹353. The peak of ~₹27,550 pre-split represents a return of approximately 15x from the split-adjusted IPO price, not 100x.
4. Nifty rally from September 2020 expiry: The original cited a rally of “~22% to ~13,000” and Bank Nifty “~50%” from “20,500 to ~29,800.” The actual Nifty rally from 10,806 (Sep 24 expiry low) to Nov 30 close of 13,982 was approximately 29%. Bank Nifty’s rally from the Sep expiry low to the Oct 31 close of 29,609 was approximately 44%.